hedge funds are subject to runs. But most important, risks to financial stability are invariably compounded by political risk.

Let me explain this last concern. First, the general public's money is being invested in some of the more risky ventures, a fact highlighted by the revelation that a number of state pension funds in the United States were invested in a risky hedge fund like Amaranth. Diversification into such alternative investments can be a valuable component of an overall investment strategy if it is carefully thought out. The problem is that all too often, it takes place as a form of herding and late in the game – after lagging pension managers see the wonderful returns in energy or from writing credit derivatives made by their more competent or lucky competitors, there is pressure on them to enter the field. They do so late, when the good hedge or commodity funds are closed to investment, and when the cycle is nearer peak than trough. Myriad new unseasoned hedge or commodity funds are started precisely to exploit the distorted incentives of the pension or insurance fund managers who queue like lemmings to dutifully place the public's money. Thus far losses from isolated failures have been washed away in diversified portfolios and the public has not noticed. Will this always continue?

In Europe, we have already had a taste of the potential fallout as pensioners, who were inappropriately advised to invest in Argentinian Bonds or Parmalat, just before these entities defaulted, pressed for compensation. The defaults were isolated, so the fallout was manageable. Could a more generalized downturn lead to more widespread revulsion against financial markets? What of emerging markets where the investors who have been drawn into the financial markets over the last few years have never experienced a downturn?

Second, the fees charged by investment managers like hedge funds and private equity cannot but arouse envy. It is surprising that despite